Olympic Rent a Car U.S.: Customer Loyalty Battles

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By submitting this deck of case slides, the members of our team affirm that we all participated in the analysis of the case and the creation of this document.

Enhancing Olympic's Appeal to Leisure Travelers

5C Analysis

Company	Olympic follows the market and offers reduced prices. They can aim to catch up to the leaders in business rentals or strengthen their position in leisure rentals.
Collaborator	Airport rentals generate approx. half of the industry's revenue ($12 billion). Most business and leisure travelers pick up their rental cars here. Third-party travel consolidators play a significant role in internet booking. 50% of leisure and 58% of business passengers book online.
Customer	There are two categories of customers: leisure and business travellers. Demand from leisure travelers will never go away, but the rise of teleconferencing has caused in-room conferencing to stagnate and potentially diminish.
Competitor	Enterprise and Hertz are market leaders, accounting for 50% of business rental revenues. Hertz and Enterprise are pricier. Enterprise's shift to the dollars-for-rewards strategy poses a significant challenge to Olympic.
Context	In a mature sector, Olympic must decide whether to remain with the old (rental days-for-rewards) approach or to follow the market leaders (dollars-for-rewards).

Strengths

- **Tiered benefits**: The Medalist program offers tiered membership levels (Bronze, Silver, Gold), with rewards at each level, motivating customers to achieve higher status.

- **Customer retention:** By rewarding frequent rentals, loyalty programs like Olympic's Medalist encourage customers to continue using the service.

- **Revenue contribution**: Renters in the Olympic Medalist program accounted for a significant portion of Olympic's revenues (21%), indicating high spending by a loyal customer base.

Weaknesses

- **Limited appeal:** The program might only appeal to a specific segment of customers who rent frequently enough to benefit from the tiered system.

- **Market competition:** The program faces stiff competition from other car rental loyalty programs that might offer more attractive or simpler benefits.

- **Cost:** Managing a loyalty program, especially one with tiered rewards and multiple benefits, can be costly for the company (advertisement for the Medalist program costs about 28 millions a year).

Impact of 3rd Party Platforms

- Increasing transparency promotes **competition**
- Multiple options result in lesser **profit margin**
- Data insights help understand **consumer preferences**
- 3rd party platforms with their own programs make **customer loyalty** difficult

Impact of Emphasizing Dollars Spent

Pros:
- Customer segmentation for more **targeted marketing**
- Increased **incentives** for customers to spend more
- Will attract the **affluent** customer base to spend more

Cons:
- Potential shift in **customer behaviour** to reduce the number of days
- **Reduced appeal** for long term rentals
- Impact on **value proposition** (had a reputation for being low cost compared to others)

Impact of Removing Blackout Dates

Pros:
- **Increased customer satisfaction and flexibility** in redeeming rewards

Cons:
- **Potentially higher operational costs** due to increased free rental redemptions during peak periods.
- **Reduced car availability** for paying customers during high demand times
- **Fleet management challenges**: Ensuring enough vehicles during peak periods and managing costs becomes crucial
- **Price competition:** Increased demand could trigger price wars, impacting overall profitability

Increased Costs, But Not Revenue

INCOME STATEMENT KEY TAKEAWAYS

- Forecasted 2013 Net Income Statements to assess the impact of switching from Points to Dollar-based loyalty program.
- Considered worst-case scenario: Points-based statement excludes 6% revenue growth tendency; Total free days represent 1.95% of all rental days, resulting in a $2.1M increase in operating costs.
- Increased number of free days impact revenue negatively, leading to a $10.5M cannibalization of paid rental days.
- With a 2.1% Net Profit margin, capacity to absorb extra costs is limited, hindering competitiveness against market leaders with stronger financial backing..

- **Cost of matching Enterprise** - ~$10M of NI loss. Switching to a Dollar-Based Loyalty Program will cause a 31% decline in net profit, narrowing the net profit margin from 2.1% to 1.5%.

- Dollar-based programs won't help retain Hertz customers. Given that 48% of Hertz's revenue comes from their rewards program members, they'll likely take aggressive marketing countermeasures. The rise in teleworking further limits business travelers, who are primary loyalty program users.

- **Instead of following Enterprise, Olympic should improve their Points-Based Program and focus on providing a better value proposition to customers.** Total elimination of the loyalty program is not recommended due to the high **economic value of loyalty program customers, which is $197 compared to $106 for regular customers.**

Net Income Statement - Points Based Rewards Program (2013)		
	Regular Customers	Olympic Medalist Customers (1.45%)
Revenue	1,217,000,000.00	323,000,000
Operating cost	1,018,886,843.35	277,793,156.65
Total Operating margin 15.8% (EBT)	243,320,000.00	
Operating Margin (EBT)	198,113,156.65	45,206,843.35
Total Net profit	32,300,000.00	
Total Net Profit %	2.1%	
Net profit/customer	15.45	
Net profit	67,902,690.07	15,494,509.93
EBT/customer	**106.4604164**	**196.5514928**

Net Income Statement - Dollar Based Rewards Program (2013)		
	Regular Customers	Olympic Medalist Customers (1.95%)
Revenue	1,217,000,000.00	312,500,442
Operating cost	1,024,711,873.89	274,140,539.91
Total Operating margin (EBT)	230,648,028.29	
Operating Margin (EBT)	192,288,126.11	38,359,902.18
Total Net profit	22,289,142.35	
Total Net Profit %	1.5%	
Net profit/customer	10.66	
Net profit	58,962,661.50	11,762,566.80
EBT/customer	**103.3302094**	**166.7821834**

Click here for detailed Analysis

Olympic Needs to Enhance Its Core Value Proposition

What Needs to be Done	Plan of Execution	Business Impact
Product: Ensure that the customers get their desired cars at the best price without any hassle	• Invest in updating the in-room conferencing facilities in their rental vehicles, as well as developing **customer-friendly teleconferencing choices** for business travellers. • **Efficient fleet management** to leisure locations while also modernizing processes to make free rental redemptions easier to schedule.	• **Enhanced value proposition** by targeting business travellers the right way. • **Improved fleet utilization** and enhanced sense of value.
Price: Utilize dynamic pricing to segment customers, and charge accordingly, especially the leisure customers	• Olympic should keep its status as a **value-conscious rental firm** while implementing price match guarantee to ensure customers think they get the best value. • Dynamic pricing should be used to target leisure travellers since they accounted **37% of the profit** for Olympic.	• Increased **price perception**, and maintained niche as a value provider. • Effective utilization of dynamic pricing towards selected segment leading to **revenue enhancement.**
Promotion: Increased personalization to target business and leisure travellers	• Redirect marketing budgets to **target leisure travelers** via their preferred channels, showcasing Olympic's competitive pricing, value-oriented strategy, and enhanced loyalty program perks. • Coming up with **uniquely tailored offers** based on collaboration with third-parties like hotels and touristic companies.	• **Customer acquisition** of other segments such as the leisure travellers. • Increase in **leisure rental volume** and higher enrollment in loyalty programs.
Place: Try ensuring 0 blackout days, and matching fleet distribution with consumer demands	• Invest in a **user-friendly website** and app while also developing an efficient online reservation system. • Training staff for **quick pick-up/drop-off** and also optimizing checkout and drop-off procedures.	• **Increased direct bookings** through the company site rather than third parties increasing overall profitability. • **Reduced customer friction** and **increased customer loyalty**.